

Audit Evidence Working Group: Analysis of Issues and Proposed Actions

Objective of the IAASB Discussion

The objective of this Agenda Item is to obtain the IAASB's input on the issues identified in this paper regarding audit evidence and technology, and on the Audit Evidence Working Group's (AEWG)¹ proposed actions to address the issues.

Introduction

1. At the March 2019 meeting, the IAASB explored some of the issues related to audit evidence. As indicated in the draft minutes of the March 2019 meeting (see Appendix 4), the IAASB encouraged the AEWG to continue pinpointing the issues related to audit evidence, prioritize the issues and consider the most appropriate mechanisms for addressing the priority issues, including mechanisms other than revisions to standards.
2. Since the March 2019 meeting, further discussions have occurred about the audit evidence and technology initiatives. In particular, at its March 2019 meeting, the IAASB's Steering Committee discussed the development of the Framework for Activities, as proposed in the [Proposed Strategy for 2020–2023 and Work Plan for 2020–2021](#), and the terms of reference for the Technology Working Group (TWG).² These discussions highlighted the need for broader identification of the issues across the ISAs arising from both audit evidence and technology. Ongoing outreach since March 2019 has also highlighted the need for broader consideration of the issues arising from technology in conjunction with issues related to audit evidence, and the need for the IAASB to acknowledge the existence of these issues and respond in an appropriate manner.
3. Given this feedback, the AEWG has focused on the following since March 2019:
 - (a) Itemizing the issues related to audit evidence and technology in the context of the ISAs.
 - (b) Ensuring there is clarity about the issues.
 - (c) Identifying possible actions that are available to address the issues.
4. The AEWG is of the view that expanding the consideration of issues to technology more broadly and formulating a holistic view of actions to address the issues will facilitate more informed considerations about the actions and how they are prioritized and progressed in the context of available project resources.
5. The AEWG recognizes the relevance of work that has been undertaken by the Professional Skepticism Working Group (PSWG) to the audit evidence initiative. The issues highlighted in Appendix 2 include concerns about professional skepticism only as it relates to specific aspects of audit evidence, and the AEWG will further collaborate with the PSWG when implementing the actions in relation to such aspects.

¹ The AEWG comprises the following members: Bob Dohrer (Chair), Kai-Uwe Marten, Eric Turner, Imran Vanker and Susan Jones

² The TWG comprises the following members: Bob Dohrer (Chair), Fernando Ruiz, Melissa Bonsall, Sue Almond and Peter Eimers

Issues Related to Audit Evidence and Technology

6. In itemizing the issues related to audit evidence and technology, the AEWG considered various sources, including:
 - (a) The issues highlighted in [Agenda Item 8](#) of the March 2019 meeting, which referenced to:
 - i. Feedback from respondents to the 2016 Request for Input, [Exploring the Growing Use of Technology in the Audit, With a Focus on Data Analytics](#).
 - ii. Feedback from respondents to the 2015 Invitation to Comment, [Enhancing Audit Quality: A Focus on Professional Skepticism, Quality Control and Group Audits](#).
 - iii. Issues identified through the AICPA Auditing Standards Board (ASB) audit evidence project.
 - (b) Feedback from the Board in March 2019, including issues identified through the breakout sessions.
 - (c) Technology-related feedback from respondents to ED-315.³
 - (d) Staff analysis of the ISAs to identify areas affected by technology and the evolution in the nature and number of sources of information.
7. In general, the main drivers of the issues identified by the AEWG are technology, professional skepticism and the growing number of sources of information available to auditors. Appendix 2 provides an itemization of the issues and the AEWG's views about the issues. Appendix 2 does not include ED-315 and ED-220⁴ in recognition of the fact there are presently active projects on these standards that have already progressed to exposure drafts and that the task forces concerned are in the process of coordinating with the TWG and other task forces or working groups, as appropriate.
8. The AEWG is of the view that the information-gathering and research activities that have already been undertaken are sufficient for the purposes of identifying issues related to audit evidence and technology (including the activities described in paragraph 6 above) and that further rounds of identifying and inventorying issues at this time will unlikely yield significant additional information. Therefore, the AEWG believes that the issues in Appendix 2 are complete at this time, although in implementing actions to address the issues, they may be explored in more detail or additional issues may be identified.
9. Given that the issues are complete at this time, the AEWG recommends that the IAASB prioritize certain of the issues and initiate actions to address them. The AEWG is of the view that doing so is responsive to calls from stakeholders for the IAASB to proactively address the issues. The section below further explores the potential actions to address the issues.

Matters for IAASB Consideration

1. The IAASB is asked to share their views as to whether there are issues that have not been identified in Appendix 2.

³ Exposure Draft of Proposed ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*

⁴ Exposure Draft of Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

2. Does the IAASB support the AEWG's proposal to initiate actions to address certain issues based on the AEWG's view that the information-gathering and research activities already undertaken have adequately identified issues related to audit evidence and technology at this time?

Actions to Address the Issues Related to Audit Evidence and Technology

10. In identifying the actions that are available to address the issues, the AEWG took into consideration the various aspects of the Framework for Activities in the Proposed Strategy for 2020–2023, which, among other matters, highlight the consideration of mechanisms for addressing issues and challenges on a more timely basis. Based on these proposals, the AEWG identified potential actions that are available to address the issues related to audit evidence and technology, which are as follows:

1. Non-authoritative guidance to be developed, which is subcategorized into:
 - 1.1 Guidance addressing the effect of technology when applying certain aspects of the ISAs.
 - 1.2 Guidance addressing audit-evidence-related issues when applying certain aspects of the ISAs.
2. Matters that are relevant to a current project.
3. A project to revise the standards to address audit evidence (ISA 500⁵ and possibly related standards).
4. A targeted project to address relevant aspects of technology across the ISAs (i.e. possibly in the form of an omnibus standard focused on technology).
5. The issue is acknowledged and will be considered as part of the IAASB's forward work plan.
6. The matter is presently not considered an issue.

11. The sections that follow further explore these actions. In addition:
 - (a) Appendix 2 provides an itemization by ISA of the issues identified and actions that are available to address each of the issues. The actions to address each of the issues include all possible actions, i.e., in some circumstances, there may be multiple actions for one issue. The AEWG is not proposing that all actions are followed for each item; instead, the aim is to highlight which actions are relevant so that the IAASB can provide input on the most appropriate action.
 - (b) Appendix 3 reflects the actions and the issues that could be addressed, which have been categorized by proposed action.
12. The AEWG notes that as the actions are implemented, further issues may be identified that may be relevant to another action, for example, if a project to revise ISA 500 is commenced, further issues may be identified related to technology that may be addressed through the guidance on technology.

⁵ ISA 500, *Audit Evidence*

Action Item 1: Guidance

13. There are many benefits to developing guidance, including that it will likely require less time to develop than changes to the standards and it may be presented in a manner that is more educational since it is not authoritative. The AEWG notes that the guidance would not be subject to the IAASB's [Due Process](#), however the timing and nature of the IAASB's input into the guidance would affect timelines in developing guidance (e.g., if the guidance were presented for discussion at an IAASB meeting, the forward timetable would need to cater for this discussion).
14. Staff have further considered an appropriate process for the guidance and propose the following:
 - (a) The working group or task force develop the guidance in collaboration with other working groups or task forces, as appropriate.
 - (b) The guidance is circulated electronically to the IAASB for fatal flaw review.
 - (c) The Chair, Deputy Chair and Technical Director provide final approval of the guidance.
15. Further factors that would also need to be considered in initiating the development of guidance include:
 - (a) Which working group is best suited to supporting the development of the guidance, and whether other working groups need to be formed (e.g., a specialized group or sub-group of the working group). In identifying the appropriate working group, consideration may be needed about whether specialized knowledge is necessary.
 - (b) Whether the development of the guidance should be supported by IAASB staff or external resources. For example, guidance may be developed by subject-matter experts, national standard setters or other professional bodies.

Action Item 1.1: Guidance Addressing the Effect of Technology when Applying Certain Aspects of the ISAs

16. Appendix 2 and Appendix 3 highlight that there are many issues that could be addressed through guidance about the effect of technology when applying certain aspects of the ISAs. Furthermore, guidance is the only appropriate action to address specific types of technology, since updating the standards to recognize specific technologies would be impractical given the continual evolution of technology.
17. The AEWG is of the view that the guidance should be developed in a series of publications because:
 - (a) A single publication addressing all issues would likely be cumbersome.
 - (b) Developing the guidance for all issues at once would take significant time and effort, therefore delaying the issuance of any guidance in the immediate future.
 - (c) Some of the issues may require specific expertise.
 - (d) Some of the issues are specific to certain types of technologies, and therefore it may be best to address different types of technology in separate publications.
18. The AEWG is also of the view that a "questions and answers" format is likely most suitable, as it would facilitate a better structure and more focused answers. Furthermore, since there is already guidance that has been developed by national standard setters (NSS) and professional accountancy bodies about specific topics regarding the effect of technology when applying certain aspects of the

ISAs, the AEWG suggests providing a repository of these resources in the publication (Appendix 5 includes a summary of feedback obtained from the NSS about guidance on technology related to audit and assurance).

19. In terms of prioritization, the AEWG is of the view that guidance on the effect of technology when applying certain aspects of the ISAs is the most important action and should be facilitated by the TWG or an augmented subgroup of the TWG. Other actions to be coordinated with other working groups and task forces would proceed concurrently with this guidance

Action Item 1.2: Guidance Addressing Audit-Evidence-Related Issues when Applying Certain Aspects of the ISAs

20. This guidance could provide clarification on (i) the interpretation and application of certain aspects of ISA 500; or (ii) matters relating to audit evidence in applying the other ISAs. The guidance would be most effective in the form of a “questions and answers” format.
21. This action recognizes that it is possible to address certain of the issues outlined in Appendix 2 by providing guidance with respect to the interpretation and application of identified aspects within the ISAs concerned (i.e., providing additional assistance outside of the standards to clarify questions that may have arisen around certain requirements and related application material).
22. The development of guidance should be considered in the context of action item 3, which proposes standard-setting. In particular:
 - (a) A project(s) to revise the standards may be more appropriate as it would address more issues outlined in Appendix 2 related to audit evidence because guidance can only address issues that elaborate on the ISAs; it cannot adjust the principles of the ISAs or introduce new concepts that extend beyond the ISAs.
 - (b) Guidance may be more appropriate as it is a more rapid response to addressing certain issues than standard-setting. Furthermore, a standard setting project that is scoped to focus on the revision of a particular standard(s) may not be able to address certain issues within that standard(s) or as conforming amendments to other standards, in which case an alternative would be to address the remaining issues by way of guidance.
23. The AEWG recommends initiating a project to revise ISA 500 and conforming amendments to related standards (i.e., action item 3) for the reasons explained in paragraph 26. However, the AEWG suggests that guidance be considered in conjunction with standard-setting activities as it may provide a mechanism to further elaborate on the issues. The nature and scope of such guidance would be determined as the standard-setting project is progressed.

Action Item 2: Matters that are Relevant to a Current Project

24. As highlighted in paragraph 7, Appendix 2 does not include ED-315 and ED-220. However, some of the issues identified in the other ISAs in Appendix 2 are related to a matter(s) already being considered as part of the projects on ED-315 and ED-220, and have been recognized as such.
25. Given that revisions to ISA 600⁶ are in initial stages, Appendix 2 includes issues related to technology with respect to ISA 600. Action item 2 would therefore comprise of further collaboration between the

⁶ ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

TWG and the ISA 600 Task Force on these issues. There are also issues in Appendix 2 related to auditor reporting, for which further collaboration may be undertaken with the Auditor Reporting Implementation Working Group.

Action Item 3: Project to Revise the Standards to Address Audit Evidence (ISA 500 and Possibly Related Standards)

26. The nature of certain issues identified in Appendix 2 are indicative of a need to more fully consider the principles and concepts relating to audit evidence through revisions to the standards. The AEWG proposes a project to revise ISA 500 and make necessary conforming amendments to related standards. In addition, as indicated in paragraph 23 (action item 1.2) the recommendation is to develop guidance in conjunction with standard-setting. These activities would run concurrently with the guidance being developed for technology that would be facilitated by the TWG (action item 1.1).
27. The AEWG recognizes that for ISA 330,⁷ ISA 501,⁸ ISA 505,⁹ ISA 520,¹⁰ and ISA 530,¹¹ there are issues closely related to audit evidence for which more fundamental revisions may be necessary (i.e., the revisions would be more significant than conforming amendments). Such revisions could be undertaken as:
- (a) Part of future projects (action item 5); or
 - (b) Part of the standard setting project to address audit evidence.
28. The AEWG is cognizant of the IAASB's remaining Work Plan for 2019, and proposed Work Plan for 2020–2021, and recognizes that undertaking a standard setting project to address audit evidence beyond ISA 500, as suggested in paragraph 27(b), would have significant implications for the IAASB's agenda, demands of staff and Board resources, and create the potential need to defer the timing of other IAASB projects. Accordingly, the AEWG recommends that the scope of the standard setting efforts should focus on ISA 500 and only necessary conforming amendments to related standards, and that more fundamental revisions to ISA 330, ISA 501, ISA 505, ISA 520 and ISA 530 be deferred until future projects can be initiated in accordance with the IAASB's work plan (action item 5). Based on this scoping, the approximate timeline for the audit evidence project would be as follows:

September 2019	Approval of project proposal ¹²
March 2020	Exploration of issues
June 2020	Exploration of issues and working draft
September 2020	First read of proposed ISA 500 (Revised)
December 2020	Second read of proposed ISA 500 (Revised)
March 2021	Approval of ED of ISA 500 (Revised)

⁷ ISA 330, *The Auditor's Responses to Assessed Risks*

⁸ ISA 501, *Audit Evidence—Specific Considerations for Selected Items*

⁹ ISA 505, *External Confirmations*

¹⁰ ISA 520, *Analytical Procedures*

¹¹ ISA 530, *Audit Sampling*

¹² Note: the December 2019 IAASB meeting agenda is already full and time to progress the audit evidence project cannot be accommodated.

(Note: The approximate timeline is subject to other projects continuing as planned, in particular ISA 315 (Revised), the quality management projects, and ISA 600)

Action Item 4: A Targeted Project to Address Relevant Aspects of Technology across the ISAs

29. Many of the issues highlighted across the ISAs relate to the rapid evolution in technology (in relation to how both audited entities and auditors utilize technology). This has created the need for updates and revisions to the ISAs to (i) address issues related to technology to make the standards more relevant in today's environment; and (ii) modernize the standards. The AEWG notes that addressing specific types of technology in the standards is not appropriate given the continual evolution of technology, however specific technology could be addressed in guidance under action item 1.1.
30. The impact of technology is being considered for projects currently underway (e.g., ED-315 and ED-220), however not all ISAs are likely to be revised in the near future. Accordingly, a project to update the ISAs to reflect the effect of technology would ensure that technology is addressed across the ISAs more promptly. The AEWG recognizes that a project to update the ISAs would need to be carefully scoped to ensure that it is appropriately focused on technology-related issues and avoids the pitfall of additional and more comprehensive revisions being made to the standards. The project would be undertaken in a manner similar to the [disclosures project](#) that was completed in 2015, and would comprise mostly of updates and revisions to application material but may also include narrow revisions to requirements.
31. As highlighted in paragraph 19, the AEWG is of the view that guidance on the effect of technology when applying certain aspects of the ISAs represents the most pressing need and is therefore the most important action. As a result, the AEWG recommends that a project to address technology across the ISAs is not initiated at this time, however is further considered as the TWG completes its work on the guidance on the effect of technology on certain aspects of the ISAs. Respondents' feedback to the Proposed Strategy for 2020–2023 and Work Plan for 2020-2021 may also provide further information relevant to the Board's considerations in this regard.

Action Item 5: The Issue is Acknowledged, and will be Considered as Part of the IAASB's Forward Work Plan

32. The proposals in the Proposed Strategy for 2020–2023 and Work Plan for 2020-2021 and respondents' feedback may lead to new projects that are initiated by the IAASB in the next few years. As highlighted in paragraph 27, ISA 330, ISA 501, ISA 505, ISA 520 and ISA 530 could be addressed as part of a project to revise the standards to address audit evidence, although the AEWG has recommended in paragraph 28 deferring revisions to these standards until future projects can be initiated in accordance with the IAASB's work plan.

Action Item 6: The Matter is Presently not Considered an Issue

33. For these matters, the AEWG deliberated the matters and concluded that they are not actual issues for the reasons stated in Appendix 2. However, the AEWG recognizes that there may be benefit in providing clarity on why the matters are not actually an issue, and therefore some of these issues may be addressed through action items 1.1 or 1.2.

Summary of Actions

Action	AEWG's Proposed Next Steps
Action Item 1.1: Guidance addressing the effect of technology when applying certain aspects of the ISAs	Initiate the development of a series of publications in a "questions and answers" format. To be facilitated by the TWG or an augmented subgroup of the TWG.
Action Item 1.2: Guidance addressing audit-evidence-related issues when applying certain aspects of the ISAs	Consider in conjunction with standard setting activities under action item 3. To be facilitated by the AEWG.
Action Item 2: Matters that are relevant to a current project	Further collaboration with other task forces and working groups as appropriate.
Action Item 3: A project to revise the standards to address audit evidence (ISA 500 and possibly related standards)	Initiate the development of a project proposal to revise ISA 500 and make conforming amendments to related standards. To be facilitated by the AEWG.
Action Item 4: A targeted project to address relevant aspects of technology across the ISAs	No immediate further action at this stage.
Action Item 5: The issue is acknowledged, but will be considered as part of the IAASB's forward work plan	Further action when the IAASB decides to initiate a new project.
Action Item 6: The matter is presently not considered an issue	No further action.

Matters for IAASB Consideration

3. The IAASB is asked to share their views on the actions to address the issues related to audit evidence and technology, particularly whether:
 - (a) There are any other actions that should be considered, but have not been identified by the AEWG, and which issues identified in Appendix 2 would be relevant to these actions.
 - (b) The IAASB supports the AEWG's recommendations regarding the proposed actions, in particular which actions should be initiated at this time and the proposals about how they will be implemented.
4. Does the IAASB support Staff's proposed process for developing the guidance?

Appendix 1

AEWG Activities Including Outreach and Coordination with Other IAASB Task Forces and Working Groups

1. The following sets out the activities of the AEWG including outreach with others and coordination with other IAASB Task Forces and Working Groups relating to the [audit evidence project](#).

Working Group Activities Since Last IAASB Discussion

2. Since the last IAASB discussion at the March 2019 IAASB meeting, the AEWG has met once in person for two days and held one teleconference.

Coordination with Other IAASB Task Forces and Working Groups

Technology Working Group (TWG)

3. Coordination with the TWG is largely facilitated through the Chair of the AEWG, who is also the Chair of the TWG, and liaison at a staff level. A draft of this paper was shared with the TWG for input prior to being finalized for the Board.

Professional Skepticism Working Group (PSWG)

4. Coordination with the PSWG is largely facilitated through common membership across the two working groups, and liaison at a staff level. In addition, a draft of this paper was shared with the Chair of the PSWG for input prior to being finalized for the Board.

Appendix 2

Itemization of Issues and Possible Actions

Appendix 2 has been organized into each ISA and identifies the issues related to audit evidence and technology and the actions that are available to address each of the issues. This Appendix first shows the issues related to ISA 500, and then the issues related to the remaining ISAs in sequential order of those ISAs.

The actions that are available to address the issues related to audit evidence are as follows:

1. Non-authoritative guidance to be developed, which is subcategorized into:
 - 1.1 Guidance addressing the effect of technology when applying certain aspects of the ISAs.
 - 1.2 Guidance addressing audit-evidence-related issues when applying certain aspects of the ISAs.
2. Matters that are relevant to a current project.
3. A project to revise the standards to address audit evidence (ISA 500 and possibly related standards).
4. A targeted project to address relevant aspects of technology across the ISAs (i.e. possibly in the form of an omnibus standard focused on technology).
5. The issue is acknowledged and will be considered as part of the IAASB's forward work plan.
6. The matter is presently not considered an issue.

#	Description of Issue	AEWG Views	Recommended Action(s)
ISA 500, Audit Evidence			
1	Questions have arisen about the purpose of ISA 500 in the context of the other ISAs, in particular whether ISA 500 is intended to be a performance standard. ¹³	The AEWG is of the view that ISA 500 is relevant to many ISAs and the relationship between ISA 500 and the other ISAs should be further considered, in particular whether ISA 500 is a performance standard, or a foundational standard that is applicable to the other ISAs. The AEWG recognizes that audit evidence is obtained and used by the auditor in each conclusion reached by the auditor in performing an audit.	3

¹³ For example, the objective of ISA 500 indicates that "the objective of the auditor is to design and perform audit procedures", and paragraph 6 requires the auditor to "design and perform audit procedures."

#	Description of Issue	AEWG Views	Recommended Action(s)
2	Evolution in technology and the nature and number of sources of information has resulted in descriptions in ISA 500 becoming outdated, ¹⁴ and raised questions as to whether ISA 500 should be updated to reflect new technology and information sources.	The AEWG recognizes this as a modernization issue that requires updates to ISA 500.	3 4
Audit procedures			
3	New technologies have given rise to confusion about whether certain technological tools are audit procedures in their own right, or whether they provide information that the auditor performs audit procedures on (e.g., pictures from a drone) (i.e., a lack of clarity on the difference between “information (to be used as audit evidence)”, “evidence” in general as used in IAASB standards other than the ISAs, “audit evidence” and “audit procedures”).	The AEWG agrees that these are issues that should be clarified, however the definitions would need careful consideration, including in the context of the IAASB’s other standards. The AEWG acknowledges the need to explore a definition of audit procedures, including considering whether all procedures undertaken during an audit are an audit procedure and whether an audit procedure is a combination of multiple actions or procedures.	1.1 3
4	New technologies have raised questions about where audit procedures performed using new technologies fit within: - The categories of audit procedures (i.e., inspection, observation, inquiry etc.); and - The nature of audit procedures (i.e., risk assessment, tests of controls, tests of details).	The AEWG is of the view that guidance could be developed to clarify how the ISAs may be applied to the use of new tools and techniques. Such guidance could highlight that new tools and techniques may provide different types of results than manual-based procedures and the results may be used by the auditor in a different manner. For example, the use of new tools and techniques as risk assessment procedures may be more effective and cover a greater portion of the population, but the auditor may have many more items to investigate.	1.2 3

¹⁴ For example, paragraph 5(a) of ISA 500 describes accounting records as the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers; invoices; contracts; the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

#	Description of Issue	AEWG Views	Recommended Action(s)
		On the other hand, this may result in the need for less tests of details.	
5	The use of new technology to perform audit procedures has raised questions about whether an audit procedure can be both a risk assessment procedure and a substantive procedure at the same time, i.e., a procedure that serves a dual purpose. This is particularly the case for certain data analytic tools.	The AEWG notes that this principle has been acknowledged in paragraph A15 of ED-315. In the context of ISA 500, further consideration could be given to: - Clarifying that an audit procedure can be both a risk assessment procedure and a substantive procedure, consistent with the approach in ED-315. - Emphasizing that the purpose of the procedure needs to be established when designing the audit procedure and other ISAs apply in circumstances when a procedure is both a risk assessment procedure (ISA 315 (Revised)) and a substantive procedure (e.g., ISA 330 and ISA 520).	1.1 1.2 2 (ISA 315 TF) 3
6	The use of new technology to perform audit procedures has raised questions about the auditor's evaluation of whether the audit procedure is designed in a manner that provides the audit evidence needed about the relevant assertion being tested. For example, there may be overreliance on an audit procedure because of the use of technology in performing the procedure (i.e., a lack of due care or objectivity that impairs the exercise of professional skepticism).	The AEWG agrees that despite the benefits, overreliance on technology is a concern and further actions could be taken to highlight the need for professional skepticism in applying the audit procedure. This issue has also been addressed in paragraph A56 of ED-220.	1.1 1.2 3
Sufficient appropriate audit evidence			
7	Auditors are required to exercise professional judgment in concluding whether sufficient appropriate audit evidence has been obtained, and, if not, when to seek further evidence from additional sources. Given concerns about auditors appropriately exercising professional	The AEWG is of the view that more could be done to address what factors would prompt an auditor to seek further audit evidence from additional sources. The AEWG noted the work already undertaken by the PSWG,	1.2 3

#	Description of Issue	AEWG Views	Recommended Action(s)
	skepticism , questions have arisen about whether ISA 500 could more robustly address the need for professional skepticism when making such judgments.	which may provide an important reference point for these considerations.	
8	The evolution in the number and nature of sources of information and use of technology to perform audit procedures have raised questions about the factors that are considered by the auditor in concluding whether sufficient appropriate audit evidence has been obtained. It brings into question: (a) Whether the definitions of appropriateness of audit evidence and sufficiency of audit evidence¹⁵ are appropriate. (b) What factors are considered by the auditor in concluding whether sufficient appropriate audit evidence has been obtained.	The AEWG is of the view that the concepts of “appropriate audit evidence” and “sufficient audit evidence” are important concepts that are integral to the ISAs. The AEWG suggests that clarification of these concepts could facilitate an improved understanding of their intended meaning, and the work already undertaken by the PSWG may provide an important reference point for these considerations. The AEWG recognizes that the meaning of sufficient appropriate audit evidence is closely related to the concept of reasonable assurance and an acceptably low level of audit risk, and that fundamental issues of this nature are beyond the remit of the project. The AEWG also suggests clarifying that the factors considered by the auditor in determining whether sufficient appropriate audit evidence has been obtained are considered at various points throughout the audit, i.e., regarding: • Risks of material misstatement related to the account balance, class of transaction or disclosure; and • The overall opinion on the financial statements.	3
Information to be used as audit evidence			
9	Auditors are required to exercise professional judgment in considering the reliability of	The AEWG is of the view that more could be done to address the factors	3

¹⁵ Paragraph 5(e) of ISA 500 describes the sufficiency of audit evidence as the measure of the quantity of audit evidence.

#	Description of Issue	AEWG Views	Recommended Action(s)
	information to be used as audit evidence. Given concerns about auditors appropriately exercising professional skepticism , questions have arisen about whether ISA 500 could more robustly address the need for professional skepticism when making such judgments.	that may be considered by an auditor in considering the reliability of information to be used as audit evidence. The AEWG noted the work already undertaken by the PSWG, which may provide an important reference point for these considerations.	
10	The evolution in the nature and number of sources of information has brought into question the appropriateness of certain statements in the standards about information obtained internally and externally. ¹⁶ In some instances, there may be overreliance on certain information sources without appropriate professional skepticism being exercised.	The AEWG recognizes this as a modernization issue that requires updates to the standard. The AEWG also recognizes that there are certain information sources or technologies where there is an increased risk of overreliance, such as blockchains. However, it is not appropriate to address specific types of technologies or information sources in the standards. Therefore, in addition to addressing the overreliance on information sources and technology in a principles-based way in the standards, further guidance may be appropriate to address specific types of technologies relevant to today's environment. The AEWG noted the work already undertaken by the PSWG, which may provide an important reference point for these considerations.	1.1 3
11	Questions have arisen regarding whether all information to be used as audit evidence should be subject to the same rigor when considering the relevance and reliability of such information. For example, should information to be used in risk assessment procedures be subject to the	The AEWG is of the view that there is a need to emphasize or clarify the matters considered by the auditor when considering the relevance and reliability of information, including:	1.2 2 3

¹⁶ For example, paragraph A31 of ISA 500 includes statements that may no longer be appropriate in today's environment, including statements such as:

- The reliability of audit evidence is increased when it is obtained from independent sources outside the entity.
- The reliability of audit evidence that is generated internally is increased when the related controls, including those over its preparation and maintenance, imposed by the entity are effective.

#	Description of Issue	AEWG Views	Recommended Action(s)
	same level of consideration as information to be used in a substantive analytical procedure?	- Clarifying that the nature and purpose of the audit procedure affects the required relevance and reliability of the information. - Explaining the need for appropriate planning for gathering audit evidence, for example, planning which information sources will be used and the criteria for that information, the tools and techniques to be used and the engagement team members who will apply the tools and techniques, and considering the degree to which the information achieves the planned criteria. The AEWG recognizes that the relevance and reliability of information is also referenced in ED-315. The AEWG also notes that there are some inconsistencies across ISA 500 because in some places it refers to the relevance and reliability of audit evidence, rather than information to be used as audit evidence, for example, paragraphs 11, A5 and A31.	
12	The evolution in technology and the nature and number of sources of information has created challenges in considering the reliability of internal and external information. For example: - Considering the reliability of information from an external source is challenging in certain circumstances given access issues. - There may be confusion as to when the information source is a service organization, and therefore when ISA 402¹⁷ applies. For example, in the case	The AEWG is of the view that there could be clarification of when an information source is a service organization, including more specific guidance that addresses certain types of information sources or technologies. With respect to the other two issues, the AEWG is of the view that guidance could explore these issues, for example: The extent to which an auditor may use information generated by artificial intelligence (AI),	1.1 1.2 3

¹⁷ ISA 402, *Audit Considerations Relating to an Entity Using a Service Organization*

#	Description of Issue	AEWG Views	Recommended Action(s)
	of information generated through a blockchain, questions have arisen about whether the blockchain could be considered a third party service organization and whether it forms part of the entity's information system relevant to financial reporting. Auditors lack appropriate expertise in the algorithms underlying new technology that is used to generate information.	particularly when it is based on unstructured machine learning. How the auditor may determine that the information generated by AI is appropriate (e.g., the entity would need to be able to explain to the auditor how the technology generated the information).	
13	The evolution in the nature and number of sources of information has brought into question the differentiation in work effort regarding the reliability of information between information produced by the entity and other information sources. ¹⁸	The AEWG recognizes this as a modernization issue that requires updates to ISA 500.	3
14	The evolution in the nature and number of sources of information has brought into question the auditor's responsibilities in circumstances when there is information that contradicts management's assertions but the reliability of that information may not be determinable, for example, because of its source (e.g., social media).	The AEWG is of the view that these situations relate to the auditor's professional skepticism and that further guidance that draws out the work of the PSWG and how it applies to these circumstances would be useful.	1.2 3
15	The factors considered in the evaluation of the reliability of information are different in ISA 500 compared to ISA 520, which creates confusion about the attributes of information that affect the reliability of information. ¹⁹	The AEWG is of the view that the difference is due to the specific nature of analytical procedures dealt with in ISA 520. Therefore, the AEWG is of the view that the use of different factors is appropriate.	1.2 6

¹⁸ Paragraph 7 of ISA 500 indicates that when designing and performing audit procedures, the auditor shall **consider the relevance and reliability** of the information to be used as audit evidence. However, paragraph 9 imposes additional responsibilities when using information produced by the entity; it requires the auditor **to evaluate whether the information is sufficiently reliable** for the auditor's purposes. It is also notable that paragraph 5(b) of ISA 520 requires the auditor to **evaluate the reliability of data** from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation.

¹⁹ Paragraph 9 of ISA 500 requires the auditor to evaluate whether the information is sufficiently reliable for the auditor's purposes, including, as necessary in the circumstances (a) obtaining audit evidence about the accuracy and completeness of the information; and (b) evaluating whether the information is sufficiently precise and detailed for the auditor's purposes. Paragraph 5(b) of ISA 520 describes the evaluation of the reliability of data as taking account of source, comparability, and nature and relevance of information available, and controls over preparation.

#	Description of Issue	AEWG Views	Recommended Action(s)
16	The increasing use of information generated by the client's IT applications in performing audit procedures has raised questions about the extent of understanding and testing needed of general IT controls and application controls, and the impact of deficiencies in general IT controls and application controls on the reliability of that information.	The AEWG notes that ED-315 addresses the extent to which the auditor needs to have an understanding of general IT controls and application controls. The AEWG notes that there may be a need to address IT with respect to testing controls, and the impact of deficiencies in these controls on the reliability of information.	2 (ISA 315 TF) 5 (ISA 330)
17	The standards use the terms " information " and " data ", and this raises questions about whether they are different and should be subject to different considerations.	The AEWG is of the preliminary view that there is no need to distinguish between information and data for purposes of evaluating audit evidence, however the actions undertaken in relation to issue 3 could affect this view. The AEWG further notes that these terms are used intermittently throughout the ISAs.	6
Use of a Management's Expert			
18	The evolution in the nature and number of sources of information and introduction of new application material dealing with external information sources has raised questions about the distinction between a management's expert and an external information source.	It is acknowledged that conforming amendments to ISA 500 were made as part of the project on ISA 540 (Revised)²⁰ and resulted in new material on external information sources. The AEWG is of the view that further clarification of the difference between a management's expert and external information source may be useful. The AEWG also notes that clarification of the difference between an auditor's expert, information source and when a technology specialist is a member of the engagement team would also be useful. The AEWG notes that the definition of "engagement team" has been addressed in ED-220. The AEWG plans to ensure that	1.2 2 (ISA 220 TF) 3

²⁰ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

#	Description of Issue	AEWG Views	Recommended Action(s)
		appropriate coordination is undertaken with the ISA 220 Task Force.	
Selecting items for testing			
19	The use of new technologies brings into question whether the requirements and application material dealing with the selection of items for testing are relevant and appropriate for certain types of audit procedures.	The AEWG is of the view that paragraph 10 of ISA 500 is appropriate. However, the AEWG suggests clarifying in ISA 500 when ISA 530²¹ is applicable. The AEWG also notes that there are concerns about the application of sampling techniques, and how this affects the consideration of sufficient appropriate audit evidence, and that possible revisions may also be needed to ISA 530.	1.2 3 5 (ISA 530)
Inconsistency in audit evidence			
20	Continued audit failures highlight concerns about the extent of professional skepticism exercised by auditors. This includes concerns about the auditor's professional skepticism and bias towards seeking evidence to support management's assertions (consistent or corroborating evidence) rather than evidence that is inconsistent with management's assertions.	The AEWG is of the view that there could be clarification about how contradictory evidence is related to inconsistent evidence. The AEWG further notes that auditor bias is related to the need to apply objectivity, which is a principle of relevant ethical requirements. The AEWG is of the view that the application of the fundamental principles of the IESBA Code²² in the context of the audit could be explained in ISA 500 (the AEWG notes that the ISAs refer to relevant ethical requirements but do not explain how the principles apply to the performance of the audit).	1.2 3

²¹ ISA 530, *Audit Sampling*

²² *International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (Including International Independence Standards)*

#	Description of Issue	AEWG Views	Recommended Action(s)
ISSUES IN OTHER ISAs RELATED TO AUDIT EVIDENCE AND TECHNOLOGY			
ISA 200, OVERALL OBJECTIVES OF THE INDEPENDENT AUDITOR AND THE CONDUCT OF AN AUDIT IN ACCORDANCE WITH INTERNATIONAL STANDARDS ON AUDITING			
21	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 200 should be updated to reflect new technology and information sources. For example, the application material related to control risk, inherent risk and detection risk could discuss factors arising from technology that affect these risks.	The AEWG recognizes this as a modernization issue that requires updates to the standard. As the issue relates to technology, it could be updated as part of a targeted project to address technology across the ISAs.	4
ISA 210, AGREEING THE TERMS OF AUDIT ENGAGEMENTS			
22	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 210 should be updated to reflect new technology and information sources. For example, the application material discussing the content of the engagement letter could include technology-related issues, such as the availability of algorithms and audit trails, access to key sources of internal and external data, security over data and arrangements with service providers (e.g., data warehouses).	The AEWG recognizes this as a modernization issue that requires updates to the standard. As the issue relates to technology, it could be updated as part of a targeted project to address technology across the ISAs.	4
ISA 230, AUDIT DOCUMENTATION			
23	Evolution in technology raises questions about whether ISA 230 should be updated to reflect new technology. For example: - The definition of audit file may be outdated. - Descriptions about the form, content and extent of audit documentation could include examples more reflective of technological tools.	The AEWG recognizes this as a modernization issue that requires updates to the standard. As the issue relates to technology, it could be updated as part of a targeted project to address technology across the ISAs.	4
24	The emergence of new technologies has given rise to questions about the auditor's documentation, including:	The AEWG is of the view that the principles dealing with documentation remain appropriate and given the principles-based nature of ISA 230, it	1.1 4

#	Description of Issue	AEWG Views	Recommended Action(s)
	- How the auditor is expected to document the procedures performed in order that the documentation test is met (i.e., an experienced auditor having no connection with the audit is able to understand how the technology operated). This includes, for example: - How to document iterations of an analytical tool, e.g., when the test is refined. - How to document in circumstances when machine learning is used by an entity and/or the auditor. - How to document the algorithms supporting the technology (e.g., AI's "black box"). - Documentation expectations related to testing the information or underlying data. - Documentation challenges arising from the client's use of technology, for example, in circumstances when the client's information may only be available for a short period of time (e.g., in the case of many AI related applications).	is adaptable for circumstances when technology is used by the entity, or when technology is used by the auditor in performing the procedure. However, the AEWG suggests further exploring the need to focus on the degree to which documentation supports an understanding of the conclusions reached (i.e., instead of documentation that supports an ability to understand the audit procedures performed). In this regard, the AEWG drew similarities to the use of the work of an auditor's expert, i.e., that the auditor does not reperform the expert's work, but instead understands how the work is suitable for the purposes of the audit. The AEWG recognizes that some of the documentation challenges are also specific to certain types of technology, such as AI, and therefore guidance may provide clarity about how ISA 230 can be applied to such technology.	
ISA 240, THE AUDITOR'S RESPONSIBILITIES RELATING TO FRAUD IN AN AUDIT OF FINANCIAL STATEMENTS			
25	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 240 should be updated to reflect new technology and information sources. For example: - The manner in which fraud takes place, as described in paragraphs A3–A5 could include fraud arising from the entity's use of technology. - The audit procedures responsive to fraud, as described in paragraph A37	The AEWG agrees that there may be circumstances when the use of technology may be more effective than manual procedures in identifying fraud and addressing the risks of material misstatement due to fraud. However, as the standards should not imply that technology is required, the AEWG suggests further guidance addressing the impact of technology on fraud. ED-220 has also addressed the need for appropriate resources to perform the	1.1 4

#	Description of Issue	AEWG Views	Recommended Action(s)
	could include examples of audit procedures that are performed using technology. - The examples of fraud risk factors in Appendix 1 of the standard could include fraud risk factors arising from the entity's use of technology or new information sources (e.g., complexity of the algorithms, a lack of management's understanding of technology used across the entity, unreliable source data). - The examples of audit procedures to address the risks of material misstatement due to fraud in Appendix 2 of the standard could include audit procedures that are performed using technology.	engagement, including technological resources. The AEWG also recognizes that the standard could be modernized to include examples for technology.	
ISA 265, COMMUNICATING DEFICIENCIES IN INTERNAL CONTROL TO THOSE CHARGED WITH GOVERNANCE AND MANAGEMENT			
26	Evolution in technology raises questions about whether ISA 265 should be updated to reflect new technology. For example, the application material addressing examples of significant deficiencies and indicators of significant deficiencies could include examples related to the entity's use of technology.	The AEWG recognizes that the standard could be modernized to include examples for technology.	4
ISA 300, PLANNING AN AUDIT OF FINANCIAL STATEMENTS			
27	Evolution in technology raises questions about whether ISA 300 should be updated to reflect new technology. For example: - The standard could address the timing of planning given the effect of technology, including the need to plan the engagement early in circumstances when the entity's use of technology is pervasive and information may only be available for short time periods. - The standard could address the need for planning in circumstances when the	The AEWG agrees that guidance that highlights some of the planning considerations when using technology to perform the audit procedures, or when the client is using technology, would be useful. The AEWG recognizes that the standard could be modernized to include examples for technology.	1.1 4

#	Description of Issue	AEWG Views	Recommended Action(s)
	auditor may embed the auditors' technology in the client's systems in order to extract data for audit purposes. Paragraph A8 and the appendix could be expanded to discuss the need for technological and intellectual resources on the engagement, including the need for human resources with technological expertise		
ISA 320, MATERIALITY IN PLANNING AND PERFORMING AN AUDIT			
28	Evolution in technology used to perform audit procedures has raised questions about the concept of performance materiality in circumstances when 100% of the population is tested, or a significant portion.	The AEWG is of the view that 100% testing is a perception because it is not possible to obtain complete evidence regarding all assertions or risks for an account balance, class of transaction or disclosure. The AEWG also noted that there is a difference between substantive testing of every item of a population from analyzing 100% of a population in order to identify items for further substantive testing. Furthermore, performance materiality is about aggregation risk – that is, the need to aggregate residual audit risk for assertions for items in the financial statements when considering overall audit risk for the financial statements as a whole. Since there is always some remaining audit risk (there is no such thing as absolute assurance), performance materiality is always relevant, even if it may be to a lesser degree in some circumstances.	1.1 6
ISA 330, THE AUDITOR'S RESPONSES TO ASSESSED RISKS			
29	Evolution in technology has increased the risk of auditors over-relying on controls over the preparation of information and heightened the need for the standard to emphasize considerations about the relevance and	The AEWG is of the view that overreliance on controls over the preparation of information is not a new issue. As the issue is <i>not</i> only relevant to technology, it may need to be	3 5

#	Description of Issue	AEWG Views	Recommended Action(s)
	reliability of information used in performing audit procedures.	considered as part of broader actions related to ISA 330.	
30	Evolution in technology has increased the risk of auditors over-relying on technology used to perform audit procedures, and heightened the need for the standard to emphasize that the auditor should consider whether the audit procedures are responsive to the risks of material misstatement and the assertions being tested.	The AEWG is of the view that the risk of overreliance on technology could be highlighted in the standard or in guidance.	1.1 3 4 5
31	The use of technology that enables the analysis of larger populations has raised questions about whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level. (See item 41)	The AEWG agrees that further clarification is needed regarding this issue. However, the AEWG is of the view that the issue is <i>not</i> only relevant to technology (it could also be relevant to analytical procedures not performed through the use of technology). Therefore, this issue may need to be considered as part of broader actions related to ISA 330.	3 5
32	Evolution in technology raises questions about whether ISA 330 should be updated to reflect new technology. For example: - Paragraphs A4–A8 could be enhanced to describe how technology may affect the nature, timing and extent of further audit procedures. - Paragraph A24 could be updated to include more modern examples of when substantive procedures alone may not provide sufficient appropriate audit evidence. - The requirement in paragraph 10 regarding the nature and extent of tests of controls to obtain evidence about the operating effectiveness of controls may need updating for an automated environment, and may need to include factors such as the underlying data used to support the functioning of the control	The AEWG recognizes that the standard could be modernized to include examples for technology. However, some of these issues relate to the requirements, which may need to be considered as part of broader actions related to ISA 330.	3 4 5

#	Description of Issue	AEWG Views	Recommended Action(s)
	and the algorithms used in the technology. - Paragraph A29 dealing with the consistency of IT processing may be outdated. - The requirements and application material dealing with audit evidence obtained in previous audits may need reconsideration, in particular the requirement in paragraph 13 that describes the factors to be considered in determining whether it is appropriate to use previous evidence.		
33	Evolution in technology and the nature and number of sources of information has given rise to questions about the testing of information used by the auditor in performing audit procedures to respond to the risk of material misstatement. (See item 11)	The AEWG recommends clarifying the linkage to ISA 500 regarding the use of information sources in performing audit procedures including, for example: - Clarifying that the nature and purpose of the audit procedure affects the required relevance and reliability of the information. - Explaining the need for appropriate planning for gathering audit evidence, for example, planning which information sources will be used and the criteria for that information, the tools and techniques to be used and the engagement team members who will apply the tools and techniques, and considering the degree to which the information achieves the planned criteria.	1.2 3 5
34	Refer to items 7–8 regarding sufficient appropriate audit evidence – these considerations also apply to paragraphs 25-27 of ISA 330.	The AEWG notes that the consideration of sufficient appropriate audit evidence is evaluated at various points throughout the audit, including in the context of ISA 330. Also refer to actions in items 7–8.	1.2 3 5

#	Description of Issue	AEWG Views	Recommended Action(s)
ISA 402, AUDIT CONSIDERATIONS RELATING TO AN ENTITY USING A SERVICE ORGANIZATION			
35	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 402 should be updated to reflect new technology and information sources, for example: - Clarifying the scope of the standard regarding the entity's use of IT, including providing examples of when the use of technology by an entity or the use of new types of information sources may be considered a service organization (paragraphs A3 and A4). For example, is the use of a public blockchain considered a service organization, and if so, who is the service provider in such cases (e.g., the developer of the blockchain, or the parties processing transactions in the blockchain)? (See item 12) - Addressing practical challenges of obtaining an understanding of service organizations and updating the standard to reflect matters that may be considered in the context of technology. - Updating paragraph A1 to include other types of information sources that may exist in today's world.	The AEWG is of the view that guidance outside of the standards could clarify when an information source is a service organization. This would form part of the work on audit evidence, because it is related to the information used by the auditor in obtaining audit evidence. However, more specific guidance that addresses certain types of technologies could also be useful. The AEWG also recognizes that ISA 402 could be further modernized to reflect technology.	1.1 1.2 4
ISA 501, AUDIT EVIDENCE—SPECIFIC CONSIDERATIONS FOR SELECTED ITEMS			
36	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 501 should be updated to reflect new technology and information sources, for example: Paragraph 4 requires attendance at physical inventory counting, which may, in some circumstances, be undertaken remotely using new technology, such as drones. The application material also appears outdated in this regard.	The AEWG agrees that ISA 501 could be modernized, although some of the issues relate to technology, and others relate to audit evidence. The AEWG notes that certain technology may be used to address only specific requirements of the standard, for example, the use of a drone at a stock count does not enable the auditor to evaluate management's instructions and procedures for	3 4 5

#	Description of Issue	AEWG Views	Recommended Action(s)
	New types of information sources may provide information about litigation and claims, and the procedures described in paragraph 9 may inadvertently limit the extent to which auditors seek information from other sources.	recording and controlling the results of the entity's physical inventory counting.	
ISA 505, EXTERNAL CONFIRMATIONS			
37	Evolution in technology and the nature and number of sources of information has raised questions about whether the definition of external confirmations remains appropriate. For example, there may be circumstances when a transaction is confirmed using technology through a counterparty or the confirmation is built into technology (e.g., confirmation in a blockchain).	The AEWG is of the view that further clarification is needed about what audit procedures would qualify as a confirmation, and that further consideration is needed of the definition of "confirmation". The AEWG is of the view that the issue relates to audit evidence (i.e., the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based).	3 5
38	Evolution in technology and the nature and number of sources of information has resulted in descriptions in ISA 505 becoming outdated. For example, paragraph A12 refers to facsimile or electronic mail.	The AEWG recognizes this as a modernization issue that requires updates to the standard.	4 5
ISA 510, INITIAL AUDIT ENGAGEMENTS – OPENING BALANCES			
39	Evolution in technology used by auditors to perform audit procedures has raised questions about the ability of a successor auditor to fulfill the requirements of ISA 510 in relation to opening balances, in particular reviewing the predecessor auditor's working papers in circumstances when the predecessor auditor used proprietary technology to perform the procedures.	The AEWG is of the view that this issue is not unique to technology, and that ISA 510 provides alternative audit procedures that may be undertaken when it is not possible to review a predecessor auditor's working papers. Furthermore, the AEWG notes that while the predecessor auditor may be unable to provide access to a technology tool, they may be able to provide the output from the tool.	6
ISA 520, ANALYTICAL PROCEDURES			
40	Evolution in technology and the nature and number of sources of information , in particular the use of data analytic tools, raises questions	The AEWG is of the view that: The manner in which substantive audit procedures	1.1 3 5

#	Description of Issue	AEWG Views	Recommended Action(s)
	about whether ISA 520 should be updated to reflect the use of new technology and information sources in performing analytical procedures. For example, technology and information sources raises questions about: • The scope of the standard, such as whether it should more broadly apply to all analytical procedures, including those performed to identify risks (which may be dual purpose in some cases). • What is meant by the term “expectation,” which could include amounts, ratios or trends. • The requirement to determine the amount of any difference of recorded amounts from expected values, as this requirement could be perceived as limiting in the context of the varying types of analytical procedures that may be performed and the expectations that are developed. • Whether the application material should include more modern examples of data analytic tools, and how these relate to the consideration factors. For example, the application material could address the use of visualization and how the proportion of graphs could impact the auditor’s judgments.	are described in ISA 520 may create perceptions that the standard is limited to substantive analytical procedures (see paragraph 5) and may exclude analytical procedures used by the auditor as both a risk assessment procedure and substantive analytical procedure. • More emphasis could be given to the fact that in the case of a substantive analytical procedure, the auditor’s focus is on detection risk (i.e., whether the procedure is designed to detect a misstatement that could be material). • Further clarification is needed of what is meant by “expectation” and how the auditor determines whether the amount of a difference is acceptable. The AEWG is of the view that the issues are not solely related to technology (with the exception of more modern examples of tools), as they could also be relevant when using other tools and techniques. However, given the importance of these issues, guidance may be an appropriate action at this time.	
41	The use of technology in performing analytical procedures has raised questions about whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of a material misstatement in the remaining population is at an acceptably low level. (See item 31)	The AEWG agrees that further clarification is needed regarding this issue. However, the AEWG is of the view that the issue is <i>not</i> only relevant to technology (it could also be relevant to analytical procedures not performed through technological tools). However, given the importance of this issue,	1.1 3 5

#	Description of Issue	AEWG Views	Recommended Action(s)
		guidance may be an appropriate action at this time.	
42	The factors considered in the evaluation of the reliability of information are different in ISA 500 and ISA 520, which creates confusion about the attributes of information that affect the reliability of information. (See item 15)	The AEWG is of the view that the difference is due to the specific nature of analytical procedures dealt with in ISA 520. Therefore, the AEWG is of the view that the use of different factors is appropriate.	1.2 6
ISA 550, RELATED PARTIES			
43	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 550 should be updated to reflect new technology and information sources, for example: - The application material could recognize the use of technology to assist in identifying related party relationships and transactions, for example, data analytic tools may be able to analyze large volumes of data and may highlight trends that may indicate such relationships. - The application material could recognize the use of technology to test related party transactions, for example, tools that can compare the terms of transactions to arm's length transactions, or that analyze the population of transactions for authorization.	The AEWG recognizes this as a modernization issue that requires updates to the standard.	4
44	Evolution in technology may create new risks regarding related parties. For example, with the use of blockchain, there may be new risks regarding unidentified related parties.	The AEWG noted regulators' increased interest in unidentified related parties as a result of new technology, and that guidance on this topic may be useful.	1.1
ISA 560, SUBSEQUENT EVENTS			
45	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 560 should be	The AEWG recognizes this as a modernization issue that requires updates to the standard.	4

#	Description of Issue	AEWG Views	Recommended Action(s)
	updated to reflect new technology and information sources, for example: - The audit procedures described in paragraph A8 could include new types of procedures that use technology, for example, data analytic tools that are able to analyze information and identify any subsequent events. - New types of information sources may provide information about subsequent events (e.g., social media).		
ISA 570 (REVISED), GOING CONCERN			
46	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 570 (Revised) should be updated to reflect new technology and information sources, for example: - The audit procedures described in paragraph A16 could include new types of procedures that use technology, for example, AI tools that are able to predict outcomes using a variety of data inputs, both internal and external, or tools that are able to read contracts to verify the terms and conditions of contracts have been met. - New types of information sources that may provide an indication of whether events or conditions exist that could cast doubt on the entity's ability to continue as a going concern.	The AEWG recognizes this as a modernization issue that requires updates to the standard.	4
ISA 600, SPECIAL CONSIDERATIONS—AUDITS OF GROUP FINANCIAL STATEMENTS (INCLUDING THE WORK OF COMPONENT AUDITORS)			
47	Evolution in technology, and the extent to which it is used by the entity and the auditor, raises questions about whether ISA 600 should be updated to reflect the special considerations in, for example: Using technology to understand the group, its components and their	The AEWG is of the view that technology presents unique challenges and opportunities in the context of group audits, and since the standard is currently under revision, further coordination should be undertaken between the ISA 600 Task	2 (ISA 600 TF)

#	Description of Issue	AEWG Views	Recommended Action(s)
	environments and to identify risks of material misstatement. - The entity's use of technology, or the auditor's automated tools and techniques, in determining the most appropriate responses to assessed risks of material misstatement, including procedures to be performed with respect to different components. - The effect of technology on controls (including group-wide controls). - The use of multiple IT systems across the group, including the effect of technology on the entity's financial reporting process (e.g., understanding and testing the consolidation process).	Force and TWG on whether and how to incorporate technology in the standard.	
ISA 620, USING THE WORK OF AN AUDITOR'S EXPERT			
48	Evolution in technology, and the extent to which it is used by the entity and the auditor, has raised questions about: - Who is considered an auditor's expert and whether they fall within the scope of ISA 620, or whether they are considered a member of the engagement team. (See item 18) - The practicalities of the auditor having an understanding of the field of expertise of the auditor's expert, as required by paragraph 10, given the complexity of technology (e.g., the complexity of the algorithms used).	The AEWG is of the view that clarification of the difference between an auditor's expert, information source and when a technology specialist is a member of the engagement team would be useful. The AEWG notes that the definition of "engagement team" has been addressed in ED-220. The AEWG plans to ensure that appropriate coordination is undertaken with the ISA 220 Task Force. The AEWG notes that the auditor is expected to have a sufficient understanding of the field of expertise of the auditor's expert. Guidance may assist in applying this requirement to technology.	1.1 3
ISA 701, COMMUNICATING KEY AUDIT MATTERS IN THE INDEPENDENT AUDITOR'S REPORT			
49	In describing how a key audit matter was addressed in the audit, expectation gaps may be created on how much audit evidence has been obtained and the level of assurance	As highlighted previously, the AEWG is of the view that "100% testing" is a misperception. However, the AEWG is of the view that when describing how	2 (ARIWG)

#	Description of Issue	AEWG Views	Recommended Action(s)
	provided, because auditors may indicate that “100% of the population was tested” when using technology on the audit.	the key audit matter was addressed in the audit, there should be caution that it is not in a manner that causes overconfidence in the procedures undertaken by the auditor. The AEWG is further of the view that caution in describing audit procedures is not unique to technology and therefore is not an issue that is best addressed through actions related to technology. Given that the Auditor Reporting Implementation Working Group is currently developing a post-implementation review plan, which may include further guidance, the AEWG intends to collaborate with that group on whether and how to address this issue.	
50	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 701 should be updated to reflect new technology. For example, the application material describing how the auditor may determine key audit matters could include examples about technology related issues (e.g., audit of crypto assets or higher risks associated with technology such as the use of an AI tool).	The AEWG agrees that examples of technology-related key audit matters and how these are described in the auditor’s report would be useful.	1.1
ISA 705 (REVISED), MODIFICATIONS TO THE OPINION IN THE INDEPENDENT AUDITOR’S REPORT			
51	Evolution in technology and the nature and number of sources of information raises questions about whether ISA 705 (Revised) should be updated to reflect new technology. For example, the application material addressing examples of limitation of scope could include examples when the auditor was unable to obtain sufficient appropriate audit evidence given limitations on the availability of information generated by technology, or	The AEWG agrees that a limitation on the scope of the audit due to technology is an example that could be provided.	1.1

#	Description of Issue	AEWG Views	Recommended Action(s)
	limitations on determining the reliability of information used as audit evidence.		

Appendix 3

Summary of Possible Actions

The aim of this appendix is to list the issues as they have been identified in Appendix 2 under each of the proposed actions (i.e., a possible inventory of issues per proposed action). It should be noted that the itemization in Appendix 2 includes all possible actions per issue and that the AEWG is not proposing that all actions are followed for each issue. This Appendix 3 represents a different perspective to viewing the identified issues and possible actions so that the IAASB can provide input on which actions should be initiated at this time and the proposals about how they will be implemented. As these actions are initiated, additional issues may be identified to be addressed under these actions, or it may be determined that certain issues may only be addressed under a specific action or allocated to a different action.

Issue No.	Standard	Summary of issue to be considered
Action Item 1.1: Guidance Addressing the Effect of Technology when Applying Certain Aspects of the ISAs		
3	ISA 500	Clarifying the meaning of “information (to be used as audit evidence)”, “evidence” in general as used in IAASB standards other than the ISAs and “audit evidence” and exploring the need for a definition of “audit procedures.”
5	ISA 500	Clarifying whether an audit procedure can be both a risk assessment procedure and a substantive procedure. Emphasizing that the purpose of the procedure needs to be established when designing the audit procedure and other ISAs apply in circumstances when a procedure is both a risk assessment procedure (ISA 315 (Revised)) and a substantive procedure (e.g., ISA 330 and ISA 520).
6	ISA 500	Addressing overreliance on technology by highlighting the need for professional skepticism in applying the audit procedure.
10	ISA 500	Addressing overreliance on certain information sources, such as blockchains.
12	ISA 500	Clarifying when an information source generated by certain technologies is a service organization (e.g., blockchain). Addressing the following issues related to the reliability of information: • The extent to which an auditor may use information generated by AI, particularly when it is based on unstructured machine learning. • How the auditor may determine that the information generated by AI is appropriate.
24	ISA 230	Addressing documentation challenges specific to certain types of technology, such as AI.
25	ISA 240	Addressing the impact of technology on fraud.
27	ISA 300	Addressing the planning considerations when using technology to perform the audit procedures, or when the client is using technology.

Issue No.	Standard	Summary of issue to be considered
28	ISA 320	Clarifying that performance materiality always applies, even when a large portion of the population is analyzed or tested.
30	ISA 330	Addressing overreliance on technology used to perform audit procedures and emphasizing that the auditor should consider whether the audit procedures are responsive to the risks of material misstatement and the assertions being tested.
35	ISA 402	Clarifying when an information source generated by certain technologies is a service organization (e.g., blockchain).
40	ISA 520	Addressing analytical procedures used by the auditor as both a risk assessment procedure and substantive analytical procedure. Emphasizing the fact that in the case of a substantive analytical procedure, the auditor's focus is on detection risk. Clarifying what is meant by "expectation" and how the auditor determines whether the amount of a difference is acceptable.
41	ISA 520	Clarifying whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level.
44	ISA 550	Addressing unidentified related parties as a result of new technology.
48	ISA 620	Guidance in applying the requirement regarding the auditor's understanding of the field of expertise of the auditor's expert, in relation to the use of a technology expert.
50	ISA 701	Examples of technology-related key audit matters and how these are described in the auditor's report.
51	ISA 705	Including a limitation on the scope of the audit due to technology as an example auditor's report.
Action Item 1.2: Guidance Addressing Audit-Evidence-Related Issues when Applying Certain Aspects of the ISAs		
4	ISA 500	Clarifying how the ISAs may be applied to the use of new tools and techniques in the context of the categories of audit procedures and nature of audit procedures.
5	ISA 500	Clarifying whether an audit procedure can be both a risk assessment procedure and a substantive procedure. Emphasizing that the purpose of the procedure needs to be established when designing the audit procedure and other ISAs apply in circumstances when a procedure is both a risk assessment procedure (ISA 315 (Revised)) and a substantive procedure (e.g., ISA 330 and ISA 520).
6	ISA 500	Addressing overreliance on technology by highlighting the need for professional skepticism in applying the audit procedure.

Issue No.	Standard	Summary of issue to be considered
7	ISA 500	Addressing professional skepticism in the context of judgments made about sufficient appropriate audit evidence by describing what factors would prompt an auditor to seek further audit evidence from additional sources.
11	ISA 500	Emphasizing or clarifying the matters considered by the auditor when considering the relevance and reliability of information.
12	ISA 500	Clarifying when an information source is a service organization, including more specific guidance addressing certain types of information sources or technologies (e.g. blockchain). Addressing the following issues related to the reliability of information: • The extent to which an auditor may use information generated by AI, particularly when it is based on unstructured machine learning. • How the auditor may determine that the information generated by AI is appropriate.
14	ISA 500	Exercising professional skepticism in circumstances when there is information that contradicts management's assertions but the reliability of that information may not be determinable.
15	ISA 500	Clarifying the differences in the factors considered in the evaluation of the reliability of information between ISA 500 and ISA 520.
18	ISA 500	Further clarifying the difference between a management's expert and external information source and also clarifying the difference between an auditor's expert, information source and when a technology specialist is a member of the engagement team.
19	ISA 500	Clarifying when ISA 530 is applicable. Addressing issues regarding auditors' application of sampling techniques under ISA 530 and the auditor's consideration of sufficient appropriate audit evidence.
20	ISA 500	Clarifying how contradictory evidence is related to inconsistent evidence. Clarifying how the principles of the IESBA Code apply in the context of the audit.
33	ISA 330	Clarifying the linkage to ISA 500 regarding the use of information sources in performing audit procedures including clarifying that the nature of the audit procedure and its purpose affects the required relevance and reliability of information, and explaining the need for planning regarding the information source.
34	ISA 330	Addressing professional skepticism in the context of judgments made about sufficient appropriate audit evidence by describing what factors would prompt an auditor to seek further audit evidence from additional sources.
35	ISA 402	Clarifying when an information source is a service organization.

Issue No.	Standard	Summary of issue to be considered
42	ISA 520	Clarifying the differences in the factors considered in the evaluation of the reliability of information between ISA 500 and ISA 520.
Action Item 2: Matters that are Relevant to a Current Project		
5	ISA 500	Whether an audit procedure can be both a risk assessment procedure and a substantive procedure. (Collaborate with ISA 315 (Revised) Task Force)
11	ISA 500	The relevance and reliability of information. (Collaborate with ISA 315 (Revised) Task Force)
16	ISA 500	The extent to which the auditor needs to have an understanding of general IT controls and application controls. (Collaborate with ISA 315 (Revised) Task Force)
18	ISA 500	When a technology specialist is a member of the engagement team. (Collaborate with ISA 220 Task Force)
47	ISA 600	Incorporating technology into ISA 600. (Collaborate between the ISA 600 Task Force and TWG)
49	ISA 701	Caution about describing procedures in key audit matters in a manner that causes overconfidence in the procedures. (Highlight as a matter for consideration as part of the auditor reporting post-implementation review)
Action Item 3: A Project to Revise the Standards to Address Audit Evidence		
1	ISA 500	Clarifying whether ISA 500 is a performance standard, or a foundational standard that is applicable to the other ISAs.
2	ISA 500	Modernization of the standard to reflect technology.
3	ISA 500	Clarifying the meaning of “information (to be used as audit evidence)”, “evidence” in general as used in IAASB standards other than the ISAs and “audit evidence” and exploring the need for a definition of “audit procedures.”
4	ISA 500	Clarifying how the ISAs may be applied to the use of new tools and techniques in the context of the categories of audit procedures and nature of audit procedures.
5	ISA 500	Clarifying whether an audit procedure can be both a risk assessment procedure and a substantive procedure. Emphasizing that the purpose of the procedure needs to be established when designing the audit procedure and other ISAs apply in circumstances when a procedure is both a risk assessment procedure (ISA 315 (Revised)) and a substantive procedure (e.g., ISA 330 and ISA 520).
6	ISA 500	Addressing overreliance on technology by highlighting the need for professional skepticism in applying the audit procedure.

Issue No.	Standard	Summary of issue to be considered
7	ISA 500	Addressing professional skepticism in the context of judgments made about sufficient appropriate audit evidence by describing what factors would prompt an auditor to seek further audit evidence from additional sources.
8	ISA 500	Clarifying the concepts of “appropriate audit evidence” and “sufficient audit evidence.” Clarifying that the factors considered by the auditor in determining whether sufficient appropriate audit evidence has been obtained are considered at various points throughout the audit.
9	ISA 500	Addressing the factors that may be considered by an auditor in considering the reliability of information to be used as audit evidence.
10	ISA 500	Modernization of the standard to reflect new information sources.
11	ISA 500	Emphasize or clarify the matters considered by the auditor when considering the relevance and reliability of information. Also address inconsistencies in terminology in the standard.
12	ISA 500	Clarifying when an information source is a service organization.
13	ISA 500	Modernization to address differentiation in work effort regarding the reliability of information between information produced by the entity and other information sources.
14	ISA 500	Exercising professional skepticism in circumstances when there is information that contradicts management's assertions but the reliability of that information may not be determinable.
18	ISA 500	Further clarifying the difference between a management's expert and external information source, and also clarifying the difference between an auditor's expert, information source and when a technology specialist is a member of the engagement team.
19	ISA 500	Clarifying when ISA 530 is applicable. Addressing issues regarding auditors' application of sampling techniques under ISA 530 and the auditor's consideration of sufficient appropriate audit evidence.
20	ISA 500	Clarifying how contradictory evidence is related to inconsistent evidence. Clarifying how the principles of the IESBA Code apply in the context of the audit.
29	ISA 330	Overreliance on controls over the preparation of information and emphasizing considerations about the relevance and reliability of information used in performing audit procedures.
30	ISA 330	Overreliance on technology used to perform audit procedures and emphasizing that the auditor should consider whether the audit procedures are responsive to the risks of material misstatement and the assertions being tested.

Issue No.	Standard	Summary of issue to be considered
31	ISA 330	Clarifying whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level.
32	ISA 330	Possible revisions to reflect technology, including additional factors to be considered in obtaining evidence about the operating effectiveness of controls, and in determining whether it is appropriate to use evidence from previous audits.
33	ISA 330	Clarifying the linkage to ISA 500 regarding the use of information sources in performing audit procedures including clarifying that the nature of the audit procedure and its purpose affects the required relevance and reliability of information, and explaining the need for planning regarding the information source.
34	ISA 330	Addressing professional skepticism in the context of judgments made about sufficient appropriate audit evidence by describing what factors would prompt an auditor to seek further audit evidence from additional sources.
36	ISA 501	Modernizing the standard to reflect new types of information sources.
37	ISA 505	Clarifying what audit procedures would qualify as a confirmation. Considering the definition of “confirmation”.
40	ISA 520	Addressing analytical procedures used by the auditor as both a risk assessment procedure and substantive analytical procedure. Emphasizing the fact that in the case of a substantive analytical procedure, the auditor’s focus is on detection risk. Clarifying what is meant by “expectation” and how the auditor determines whether the amount of a difference is acceptable.
41	ISA 520	Clarifying whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level.
48	ISA 620	Clarifying the difference between an auditor’s expert, information source and when a technology specialist is a member of the engagement team.
Action Item 4: A Targeted Project to Address Relevant Aspects of Technology Across the ISAs		
2	ISA 500	Modernizing the standard to reflect technology.
21	ISA 200	Modernizing the standard to reflect technology.
22	ISA 210	Modernizing the standard to reflect technology.
23	ISA 230	Modernizing the standard to reflect technology.
24	ISA 230	Exploring the need to focus on the degree to which documentation supports an understanding of the conclusions reached.

Issue No.	Standard	Summary of issue to be considered
25	ISA 240	Modernizing the standard to reflect technology.
26	ISA 265	Modernizing the standard to reflect technology.
27	ISA 300	Modernizing the standard to reflect technology.
30	ISA 330	Overreliance on technology used to perform audit procedures and emphasizing that the auditor should consider whether the audit procedures are responsive to the risks of material misstatement and the assertions being tested.
32	ISA 330	Modernization to the standard to reflect technology, including additional factors to be considered in obtaining evidence about the operating effectiveness of controls, and in determining whether it is appropriate to use evidence from previous audits.
35	ISA 402	Modernizing the standard to reflect technology.
36	ISA 501	Modernizing the standard to reflect technology.
38	ISA 505	Modernizing the standard to reflect technology.
43	ISA 550	Modernizing the standard to reflect technology.
45	ISA 560	Modernizing the standard to reflect technology.
46	ISA 570	Modernizing the standard to reflect technology.
Action Item 5: The Issue is Acknowledged and will be Considered as Part of the IAASB's Forward Work Plan		
16	ISA 330	Addressing IT with respect to testing controls, and the impact of deficiencies in these controls on the reliability of information.
19	ISA 530	Addressing issues regarding auditors' application of sampling techniques under ISA 530 and the auditor's consideration of sufficient appropriate audit evidence.
29	ISA 330	Overreliance on controls over the preparation of information and emphasizing considerations about the relevance and reliability of information used in performing audit procedures.
30	ISA 330	Overreliance on technology used to perform audit procedures and emphasizing that the auditor should consider whether the audit procedures are responsive to the risks of material misstatement and the assertions being tested.
31	ISA 330	Clarifying whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level.
32	ISA 330	Modernization to the standard to reflect technology, including additional factors to be considered in obtaining evidence about the operating effectiveness of controls, and in determining whether it is appropriate to use evidence from previous audits.

Issue No.	Standard	Summary of issue to be considered
33	ISA 330	Clarifying the linkage to ISA 500 regarding the use of information sources in performing audit procedures including clarifying that the nature of the audit procedure and its purpose affects the required relevance and reliability of information, and explaining the need for planning regarding the information source.
34	ISA 330	Addressing professional skepticism in the context of judgments made about sufficient appropriate audit evidence by describing what factors would prompt an auditor to seek further audit evidence from additional sources.
36	ISA 501	Modernizing the standard to reflect technology.
37	ISA 505	Clarifying what audit procedures would qualify as a confirmation. Considering the definition of “confirmation”.
38	ISA 505	Modernizing the standard to reflect technology.
40	ISA 520	Addressing analytical procedures used by the auditor as both a risk assessment procedure and substantive analytical procedure. Emphasizing the fact that in the case of a substantive analytical procedure, the auditor’s focus is on detection risk. Clarifying what is meant by “expectation” and how the auditor determines whether the amount of a difference is acceptable.
41	ISA 520	Clarifying whether the auditor is required to follow up all exceptions identified, or whether the auditor is able to perform further testing only on a selection of exceptions, provided that the risk of material misstatement in the remaining population is at an acceptably low level.
Action Item 6: The Matter is Presently not Considered an Issue		
15	ISA 500	Differences in the factors considered in the evaluation of the reliability of information between ISA 500 and ISA 520.
17	ISA 500	Distinguishing between information and data in the standards.
28	ISA 320	Concept of performance materiality in circumstances when 100% of the population is tested, or a significant portion.
39	ISA 510	Reviewing the predecessor auditor’s working papers in circumstances when the predecessor auditor used proprietary technology to perform the procedures.
42	ISA 520	Differences in the factors considered in the evaluation of the reliability of information between ISA 500 and ISA 520.

Appendix 4

Draft Minutes from the IAASB's March 2019 Meeting

Ms. Jones provided an overview of how the ISAs currently address audit evidence and the relationships between the ISAs. Mr. Dohrer updated the IAASB on the AICPA's Auditing Standards Board's (ASB) project to address audit evidence. This included a walkthrough of the proposed requirements, an explanation of how the requirements address the key issues identified by the ASB and an outline of the ASB's proposed timeline to completion of the project.

The IAASB engaged in breakout discussions to further explore the issues related to audit evidence. The feedback from the breakout discussions highlighted the following points:

- Support for the issues highlighted in **Agenda Item 8**. The IAASB acknowledged that more challenges will arise in the future that also affect how auditors obtain and evaluate audit evidence.
- Support for the Audit Evidence Working Group (AEWG) commencing activities to further understand the key issues related to audit evidence, and emphasis that the activities need to be exploratory at this stage. The IAASB noted that the work of the AICPA would be a useful reference point as part of the research undertaken by the AEWG.
- Encouragement for the AEWG to prioritize the issues and consider the most appropriate mechanisms for addressing the priority issues, for example, technology may be addressed more promptly through mechanisms other than revisions to standards. However, the IAASB raised caution that stakeholders' expectations of how the IAASB will address technology could be idealistic.
- A need to keep a broader perspective on the ISAs that are affected by audit evidence (i.e., the issues do not only affect ISA 500). The IAASB also suggested considering the types of conclusions the auditor makes throughout the audit and the nature of audit evidence that is obtained to support those conclusions.
- Consideration of how the ISAs could be more principles-based to cater for changes in the audit environment, for example, establishing requirements that are evidence-based rather than procedures-based.
- Retaining the focus on designing and performing procedures in ISA 500, although the IAASB agreed that more could be done in ISA 500 to address the evaluation of information obtained to be used as audit evidence.
- A need for clarity on what is considered sufficient appropriate audit evidence. The IAASB also commented that while less focus may be needed on the quantity of audit evidence, it remains an important consideration in conjunction with relevance, reliability and persuasiveness. The IAASB further noted that the persuasiveness of audit evidence is affected by both sufficiency and appropriateness.
- A need for further exploration of the factors that would be considered by the auditor regarding the reliability of information to be used as audit evidence. The IAASB indicated that there are mixed views about whether all information to be used as audit evidence should be subject to the same considerations.
- Consideration of the concepts surrounding audit evidence and differentiating what is information, data, audit procedures and audit evidence. The IAASB noted that this has other ramifications for the

ISAs, for example, if an activity is considered an audit procedure, whoever performs that activity is considered to be a member of the engagement team.

- Consideration of whether technology changes the nature of the audit evidence or whether it changes the nature of the procedures performed on information that becomes audit evidence. The IAASB also questioned whether technology affects the categories of audit procedures described in the standards, and noted the need for clarification about the nature of procedures performed using technology (e.g. whether a procedure is a risk assessment procedure versus a substantive procedure).
- The impact of technology used by the entity subject to audit and the linkages with ISA 315 (Revised). In particular, the IAASB noted the challenges of testing the algorithms on which the technology is built, given the complexity of the algorithms and the multiple inputs. The IAASB also noted that the algorithms supporting the auditor's technology are also important considerations, although these would form part of proposed ISQM 1²³ and proposed ISA 220 (Revised).
- How the use of technology affects the documentation so that an experienced auditor having no connection with the audit is able to understand how the technology operated.
- An increasing need for professional skepticism, given the evolution in the nature and number of sources of information. The IAASB also commented that it would not be practicable to require auditors to seek contradictory evidence, however information that is contradictory should not be ignored by an auditor on the basis that it might not be reliable (e.g., information on social media).
- Consideration of evidence more broadly in the context of other types of engagements.
- Questions about whether the ASB's proposed changes would affect the auditor's judgments, for example, would an auditor reach a different conclusion on whether sufficient appropriate audit evidence has been obtained than under the extant standards.

WAY FORWARD

The AEWG will consider the input provided by the IAASB as it commences its activities to further understand the key issues and identify areas of focus in scoping a future project.

²³ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control 1) (Revised), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

Appendix 5

Summary of Feedback from the National Standard Setters about Guidance on Technology Related to Audit and Assurance

During the recent NSS meeting held in May 2019, participants were asked to provide information about publications within their respective jurisdictions that provide guidance related to audit and assurance regarding AI, robotic process automation, blockchain and data analytics.

Summarized below is feedback received highlighting guidance that specifically relates to audit and assurance and the use of the technology, although it is noted that some respondents also shared informative articles and other information of interest.

Canada

Chartered Professional Accountants (CPA) Canada published a [report](#) on audit data analytics (ADA) in April 2019. The initiative involved CPA Canada holding a series of interviews with engagement teams from nine participating public accounting firms ranging in size from very small to very large to discuss use of data analytics on specific audit files. The findings of the report were published to inform practitioners of the benefits and challenges of using ADAs. Included in the report was suggestions, including ten steps to follow when a practitioner implements ADAs for the first time.

CPA Canada in collaboration with the American Institute of CPAs (AICPA), has issued a publication, [A CPA's Introduction to AI: From algorithms to deep learning](#). This document was issued as an information source that explains the fundamentals of AI "buzzwords" and discusses the evolution of data, AI and computing power, and helps practitioners to learn more about AI and how it might impact the work of the auditor.

CPA Canada also published another [document](#) that deals with big data and AI. This document is another information source on how technology is rapidly transforming the accessibility of information useful for investing purposes and the possible ways that this can impact that accounting and auditing profession. The publication explores alternative sources of investment information, advanced analytical techniques that use AI and machine learning to gather and analyze data from a multitude of difference sources to inform investment choices and the key questions these technological developments raise for participants and stakeholders in the financial reporting process

CPA Canada issued [a guide](#) in August 2018 on the audit considerations relating to cryptocurrency. This document notes that cryptocurrency is becoming common on financial statements with material balances and needs to reflect the results of cryptocurrency transactions. Many auditors may have little or no experience with cryptocurrencies and therefore may not fully appreciate the challenges that auditing these items may present. This publication provides auditors with examples of matters to consider when deciding whether to accept or continue an audit engagement when an entity has engaged in material cryptocurrency transactions, obtaining an understanding of the entity's information system for cryptocurrency transactions, and identifying and assessing risks of material misstatements in financial statements related to cryptocurrency transactions and cryptocurrency balances.

United States of America

The AICPA developed a [non-authoritative guide](#) to ADAs. This guide makes auditors aware of how ADAs may be efficiently and effectively used in each phase of the financial statement audit, performed in

accordance with generally accepted auditing standards, helps auditors identify and address matters that they may encounter in deciding whether to use ADAs and assists auditors in applying ADAs in performing audit engagements.

United Kingdom

The Financial Reporting Council published results of [a thematic review](#) into the use of data analytics in the audit of financial statements. The objective of the thematic review was to understand how advanced audit firms were in developing and using data analytics in the audit of financial statements. The report identifies a number of ways that ADA can contribute to audit quality including: deepening the auditor's understanding of the entity; facilitating the focus of audit testing on the areas of highest risk through stratification of large populations; aiding the exercise of professional skepticism; improving consistency and central oversight of group audits; enabling the auditor to perform tests on large or complex datasets where a manual approach would not be feasible; improving audit efficiency; identifying instances of fraud; and enhancing communications with audit committees. The report also gives examples of good practice identified including enabling audit staff to build experience and confidence in using data analytics tools, using data analytics at an interim date to improve the prospect of obtaining audit evidence at the financial year end, improving the effectiveness and efficiency of data extraction into audit data analytics tools by using specialist staff and/or dedicated software and using data analytic techniques to improve oversight and consistency of multiple auditors contributing to group audit.

The Institute of Chartered Accountants in England and Wales (ICAEW) published [guidance for internal auditors](#) to highlight some key risks associated with robotics and the internal audit approach.

Australia and Netherlands

Australia and the Netherlands indicated that they have current projects in progress that relates to the use of technology. Australia is currently undertaking a project to develop guidance on how the use of data analytics and technology can improve audit quality and efficiency while still being compliant with auditing standards. The Netherlands' project is focused on auditor's use of data analytics.